



IN JUNE 2023, over 100,000 were affected by the severe flooding of the Singra River in Assam. Soon after, the monsoon brought further devastation with heavy rainfall causing landslides in parts of northern India, particularly impacting the state of Himachal Pradesh. Heatwaves, cyclones, and increasingly harsh winters—India is grappling with the severe effects of extreme weather conditions.

84 | These seemingly isolated events, the result of long-term climate change, have economic implications as well. The Reserve Bank of India, in its Report on Currency and Finance in 2022-23, said up to 4.5% of India's GDP could be at risk by 2030 due to lost labour hours from extreme heat and humidity alone.

Timely adoption and rapid implementation of climate adaptation and mitigation strategies to reduce India's carbon footprint and achieve its net-zero target by 2070 is the need of the hour. However, to achieve this Herculean task, an estimated investment of \$10.1–15.1 trillion is required.

Vivek Sen, Acting India Director of global non-prof-



“Most of the investments required are to transform India's energy-related sectors”

VIVEK SEN
ACTING INDIA
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FUNDING RECEIVED

1

Between 2019 and 2020, India secured around \$44 billion annually in green financing

2

India has received more than \$15 billion in climate finance from multilateral institutions like the Green Climate Fund and the Global Environment Facility to support clean energy projects

3

The World Bank approved an outlay of \$1.5 billion to finance India's low-carbon transition last year

it advisory Climate Policy Initiative (CPI), says most of the investments must go towards transforming India's energy-related sectors. About \$8-10 trillion is required to scale up generation of renewable energy and associated integration, distribution, and transmission infrastructure. In addition, \$1.5 trillion would have to be invested in the industrial sector to set up green hydrogen production capacity, and \$1 trillion to decarbonise the transport sector. In the short term, to meet the nationally determined contributions (NDCs) by 2030, an investment of about \$250 billion is needed annually. “So, by 2030, around \$1.5 trillion would be needed,” adds Sen.

But India is far behind this target.

Gaurav Gupta, Global Managing Partner of Dalberg Advisors, says between FY19 and FY20, India secured around \$44 billion annually in green financing. “Even though most of it was focused on the power sector, the need from the renewable sector alone is huge, as it requires an average annual investment of around \$28 billion to achieve the energy mix targets set by the Central Electricity Authority,” he adds.



“India must pivot towards international grants, green bonds, and private investments to fund climate initiatives”

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